

absence of speculators would make stock prices volatile and hurt even genuine investors, they argued.

The government refused to repeal the tax, but agreed to modify the STT rate. For delivery-based transactions – buy and sell – the rate was reduced to 0.075 per cent. For non-delivery-based transactions, the rate was reduced to 0.015 per cent, and for derivatives transactions, the new rate was 0.01 per cent. Traders and investors could also claim a rebate on their tax liability to the extent of STT paid.

The government had to take a huge hit on its tax estimates for that year because of this revision in STT rates. But an illiquid stock market could have cost the government even more.

It was one of those rare occasions when the powers in Delhi had to soften their stance in the face of sustained protests from the broking community.

Before long, the ingenious brokers would exploit a loophole in the STT and help clients lower their tax liability for a cut of the savings they made. The government hit back by scrapping the rebate after a few years.

After a long gap, 2004 turned out to be a busy year for merchant bankers, with 26 companies raising around Rs 12,400 crore through IPOs. They included the Rs 5,420 crore IPO of India's number one software services exporter, Tata Consultancy Services (TCS). The issue drew an enthusiastic response from investors, even as the overall market was recovering from the post-election drubbing in May. The retail portion of the issue was subscribed three times, and the issue fetched 12.5 lakh applications. Overall, the issue was subscribed 7.7 times.

Again, concerns that the TCS IPO would cause a liquidity squeeze in the secondary market turned out to be unfounded. Another Rs 23,000 crore was raised by companies through the year by way of FPOs, preferential issues and rights issues. Despite the massive capital mop-up, the Sensex made a new high by December.

I decided to upgrade my Opel Astra to a Mahindra Scorpio.